UCLA

ANDERSON SCHOOL OF MANAGEMENT

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VP, Product Management, Cisco Systems



PRODUCT MANAGEMENT FOR MSBA

UCLA

LECTURE 3



RECAP

- JTBD & Customer Focus
- Product Market Fit
- Product Pricing & Positioning
- PRD Fundamentals
- HW#2 & FINAL PROJECT
- Questions?



PRODUCT MANAGEMENT
LECTURE 3

- PRODUCT LIFECYCLE
- DATA BASED DECISION MAKING
- CUSTOMER BEHAVIOUR & INSIGHTS
- DATA DRIVEN INNOVATION
- DATA DRIVEN DIFFERENTIATION
- GUEST SPEAKER



DATA DRIVEN PRODUCT MANAGEMENT

CROSSING THE CHASM

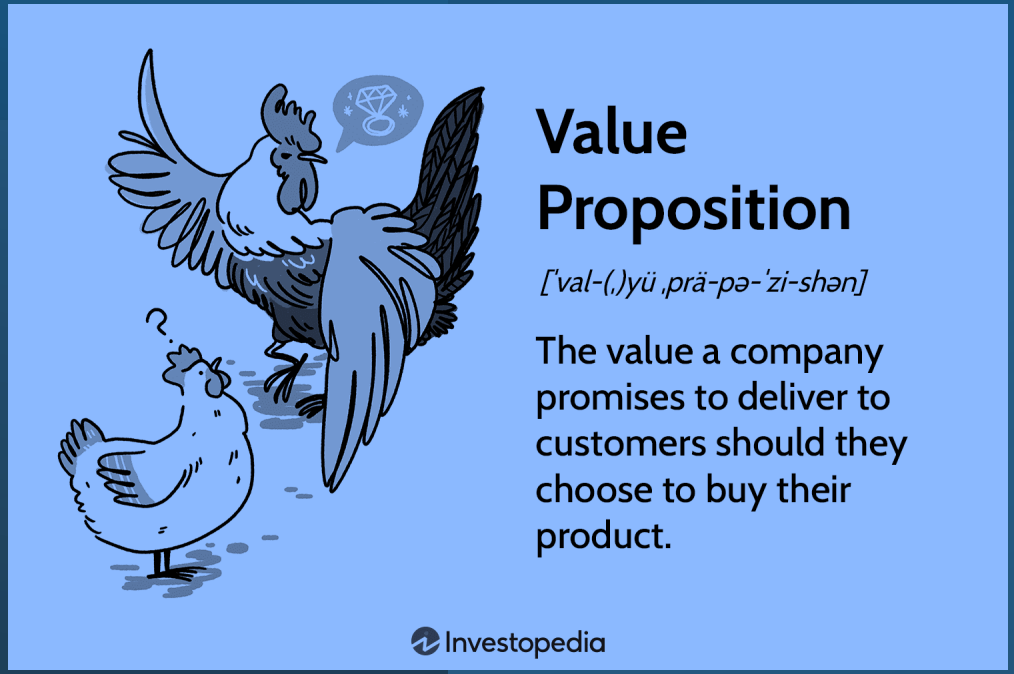
CONNECTING THE DOTS

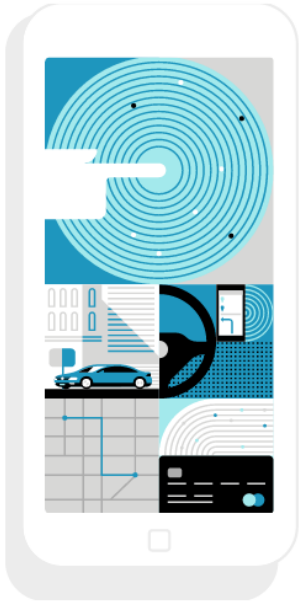
THE GROWTH PYRAMID REVISITED – SEAN EELIS



VALUE PROPOSITION & PR

A product value proposition is a statement that articulates the product's features, uses and differentiators while considering the customers' problems, wants and needs. It is the north star for product messaging.





Highlights everything that sucks about taking a traditional taxi

Contrasts the typical experience of getting a taxi – no phone calls to disinterested dispatchers

One tap and a car comes directly to you

Your driver knows exactly where to go

Payment is completely cashless

Just a fast, efficient way to get where you're going.

This is reinforced by the aspirational messaging toward the top of the Uber homepage, which states that "Your day belongs to you."



Why there's nothing quite like iPhone.

Every iPhone we've made — and we mean every single one — was built on the same belief. That a phone should be more than a collection of features. That, above all, a phone should be absolutely simple, beautiful, and magical to use.

Apple states that it believes a phone "should be more than a collection of features"

Does not focus on a specific features – virtually none of which are unique to the iPhone

Chooses to focus on the experience of using an iPhone; calling it "magical"

By emphasizing the overall experience of *using* the device, however, Apple's value proposition is as unique as its approach to product design and aesthetic

Apple doesn't just sit on its proverbial laurels and rely on aspirational messaging to sell you on its value proposition

- **Understand your customers**: Identify their needs, pain points, and preferences.

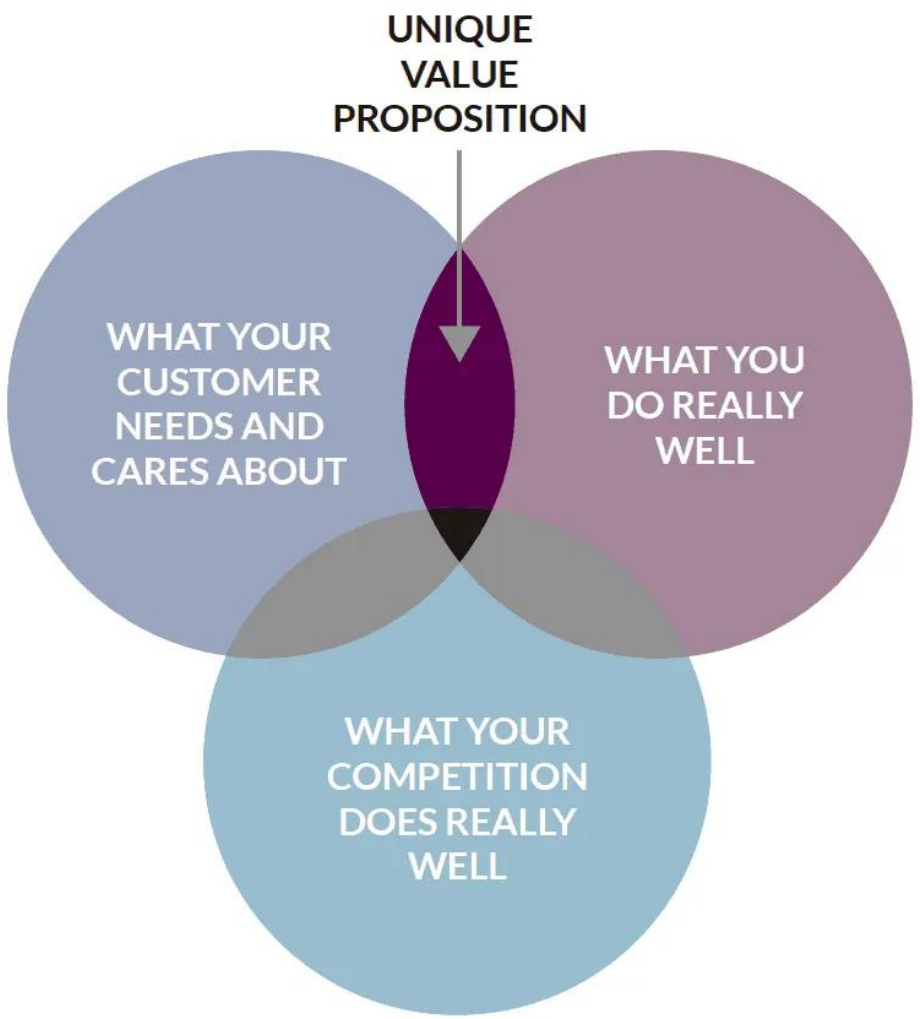
- **Analyze competitors**: Research similar companies to learn about their strengths and weaknesses.

- **Know your product or service**: Clearly describe what you're selling and the benefits it provides.

- **Target your audience**: Use words and phrases that are relevant to your target customers.

- **Be unique**: Find the words that best describe your business and what makes your offering different.

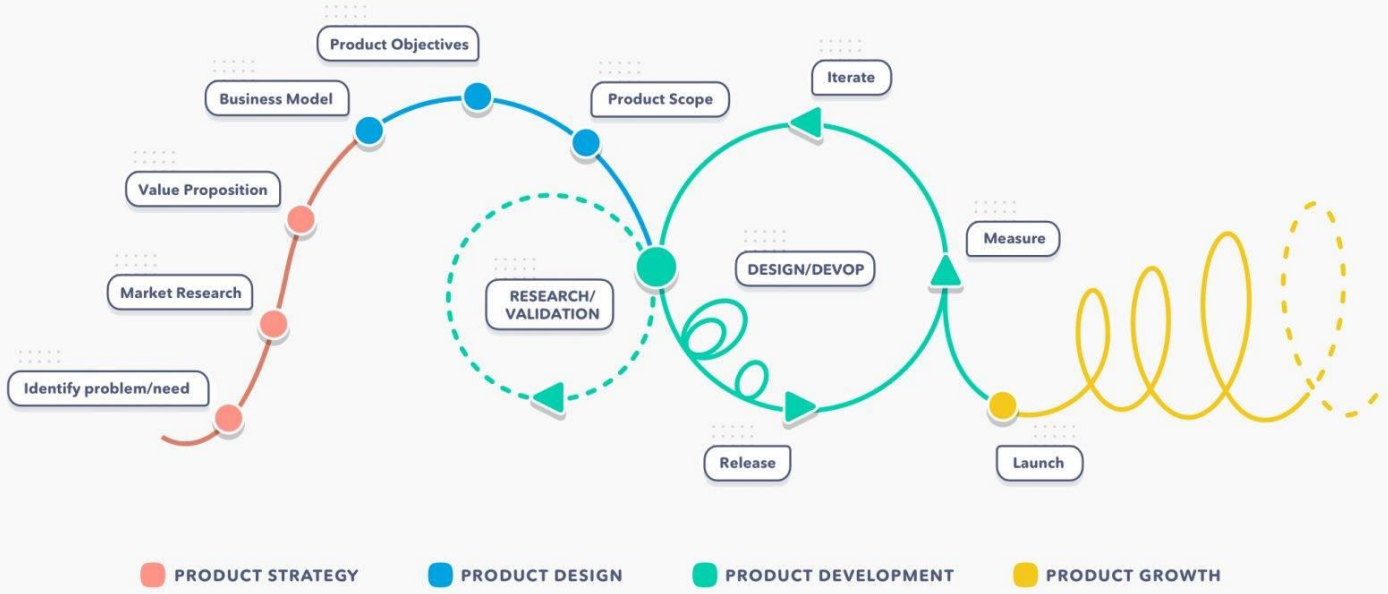
- **Keep it simple**: Start with a basic statement and then add more details.





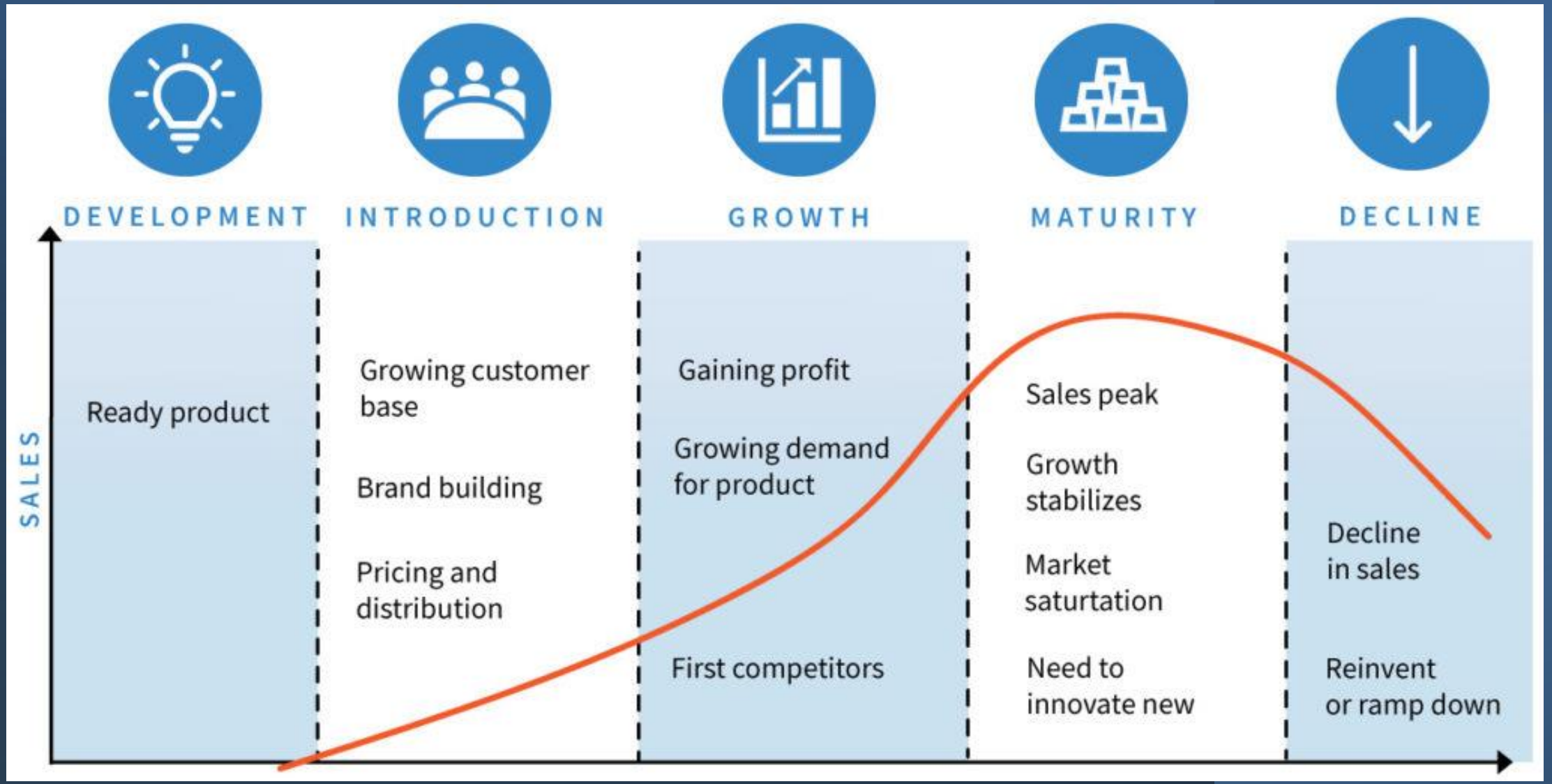
PRODUCT LIFECYCLE





Every Product might have a different lifecycle!

Product Lifecycle



Product Management's Role
At Every Phase of the Product Lifecycle



Subject Expert

Goal:
Getting to product-market fit

Focus:
Adapting rapidly to new insights from customers and the market



Growth Hacker

Goal:
Expand reach, scale, and stay competitive

Focus:
Supporting more users while optimizing to accelerate growth



Retention Strategist

Goal:
Retention. Sustaining market share

Focus:
Evolving value proposition while focusing on customer satisfaction and delight. Battling churn.

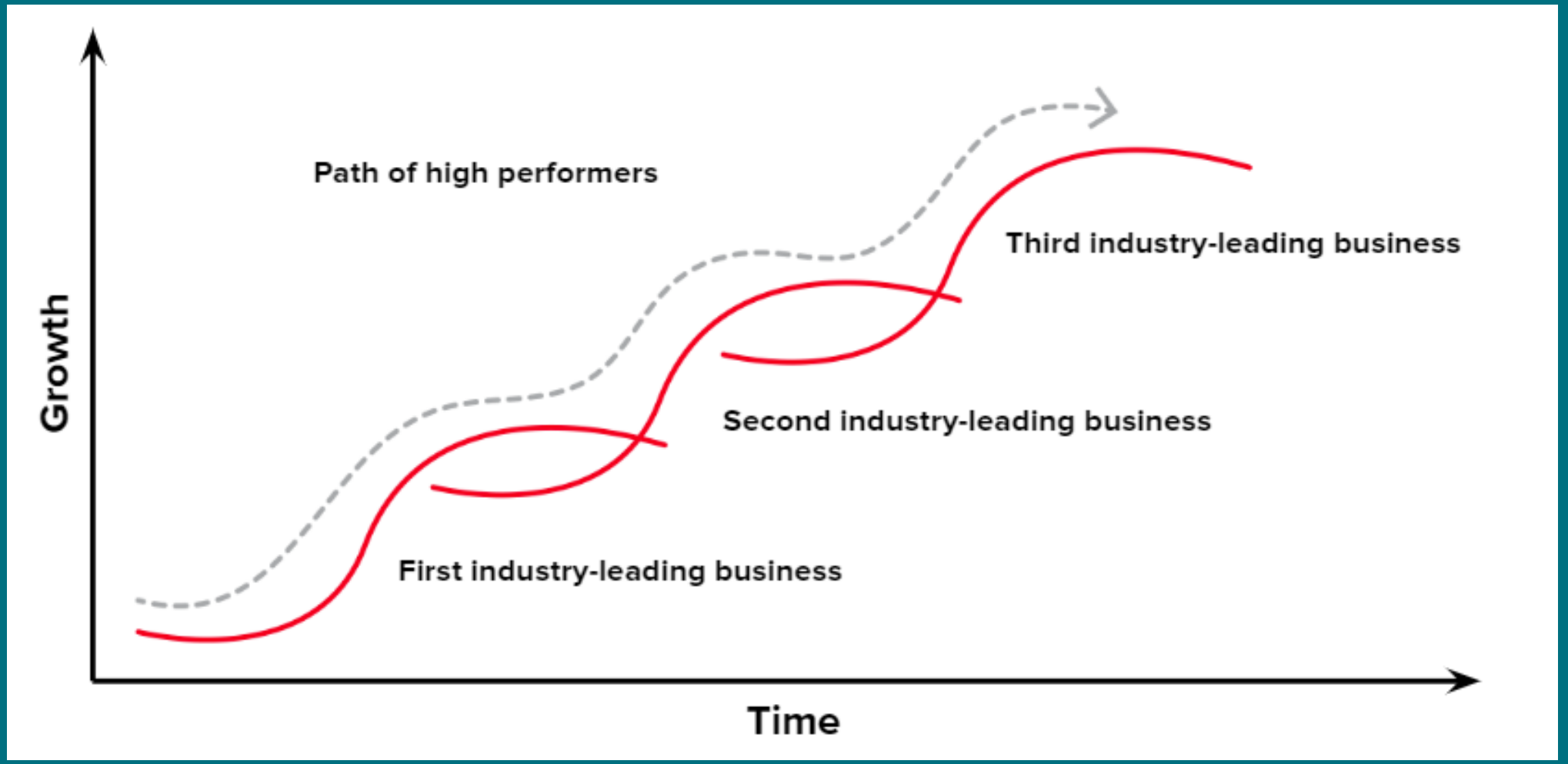


Solution Seeker

Goal:
Determining the best outcome

Focus:
Thinking strategically about pivoting, resurrecting current offering, or phasing out.

Challenge: Innovator's Dilemma

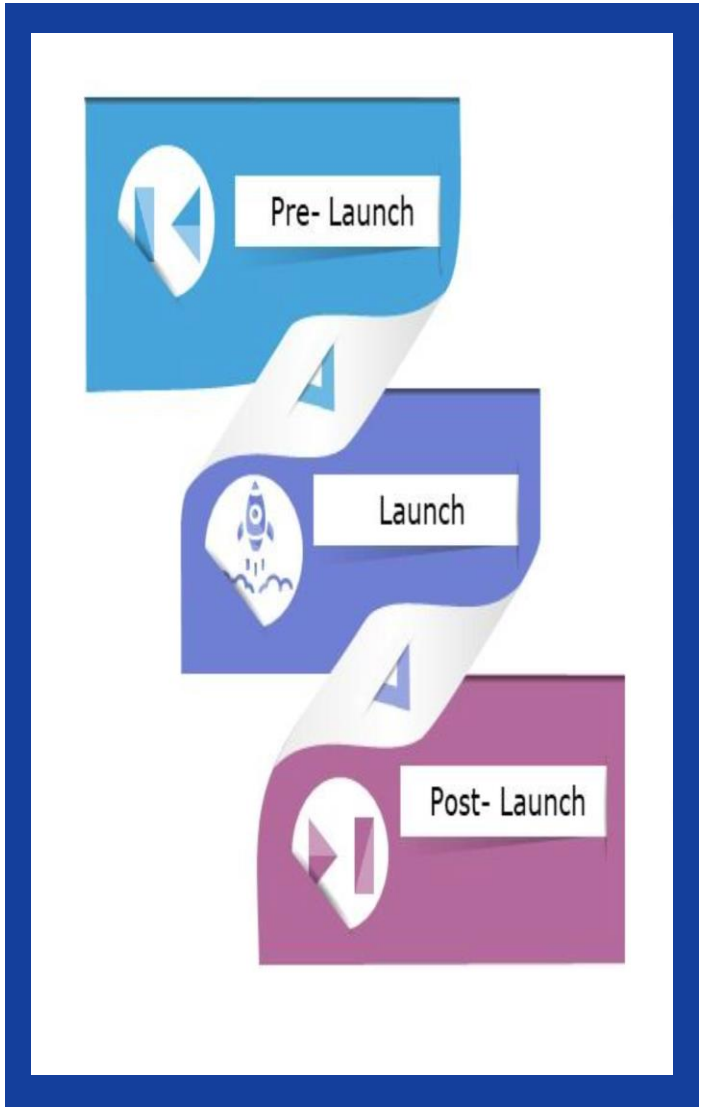




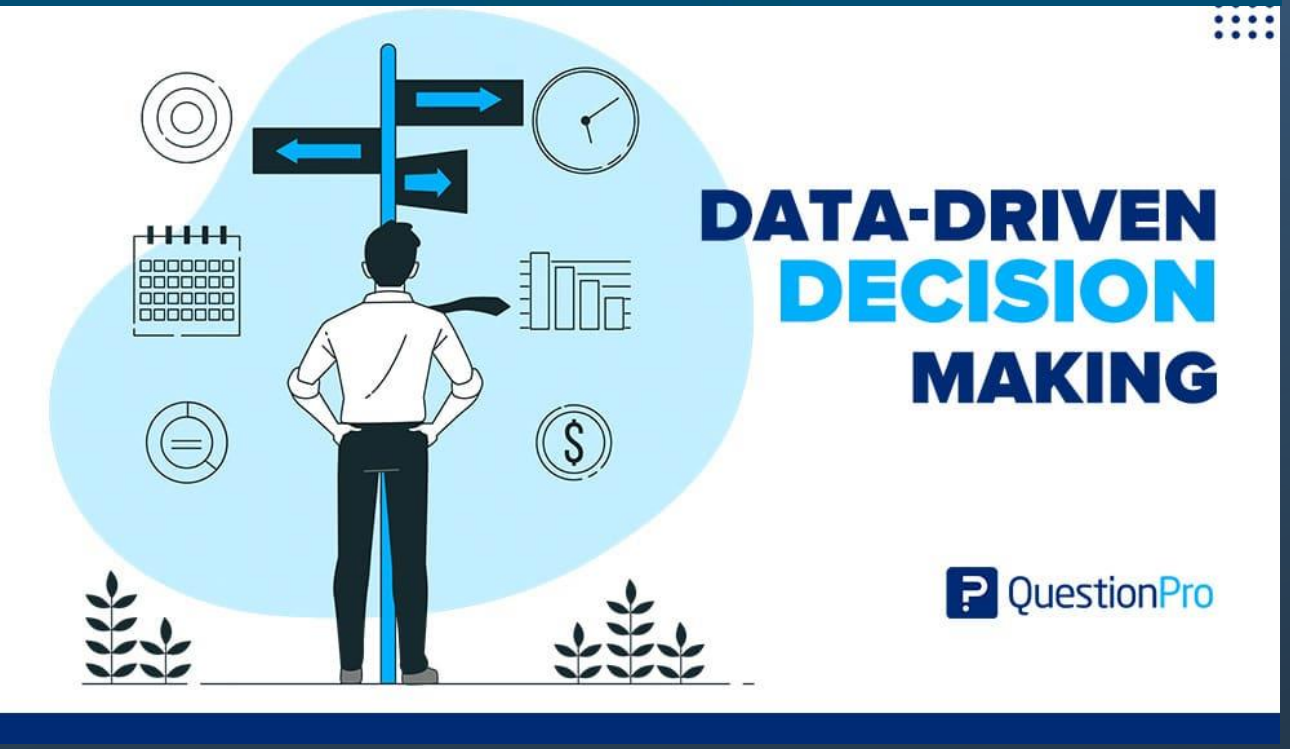
DATA-DRIVEN DECISION MAKING

Introduction to **Data-Driven** Decision Making

Data-driven decision making is a powerful tool for product managers to make informed decisions about their products. By leveraging data, product managers can make decisions that are based on **facts and evidence** rather than intuition.



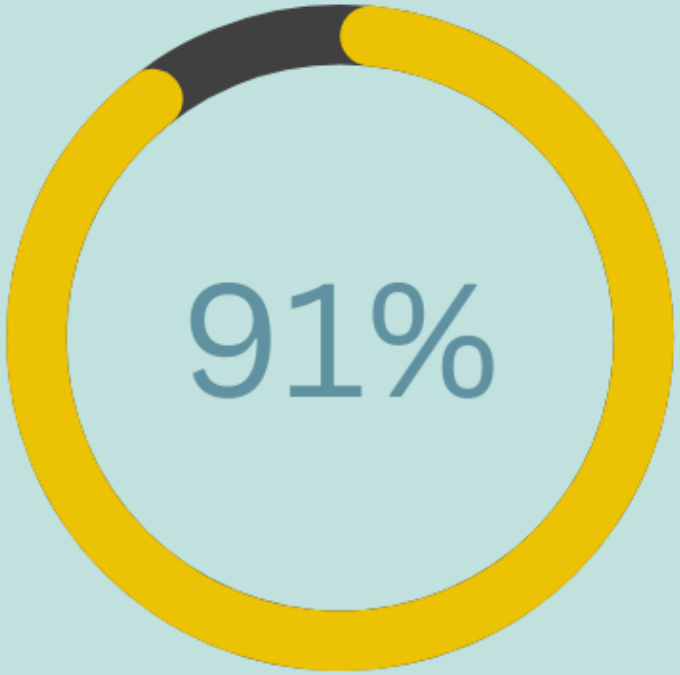




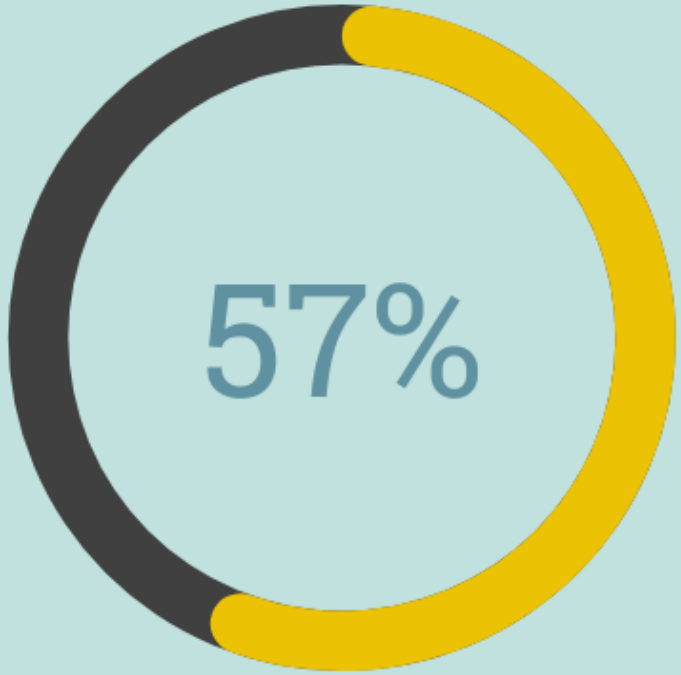
Product managers use data analytics in key stages of the product development process.

They use data **to identify** **customer needs** during ideation, **prioritize features** based on usage metrics, and track **key performance indicators** after launch.

Data driven decision making is important to my business



We use data to make decision in our business



PRODUCT MANAGEMENT CHALLENGES & OPPORTUNITIES



DATA COLLECTION

Gathering data from various sources to inform product decisions



DATA ANALYSIS

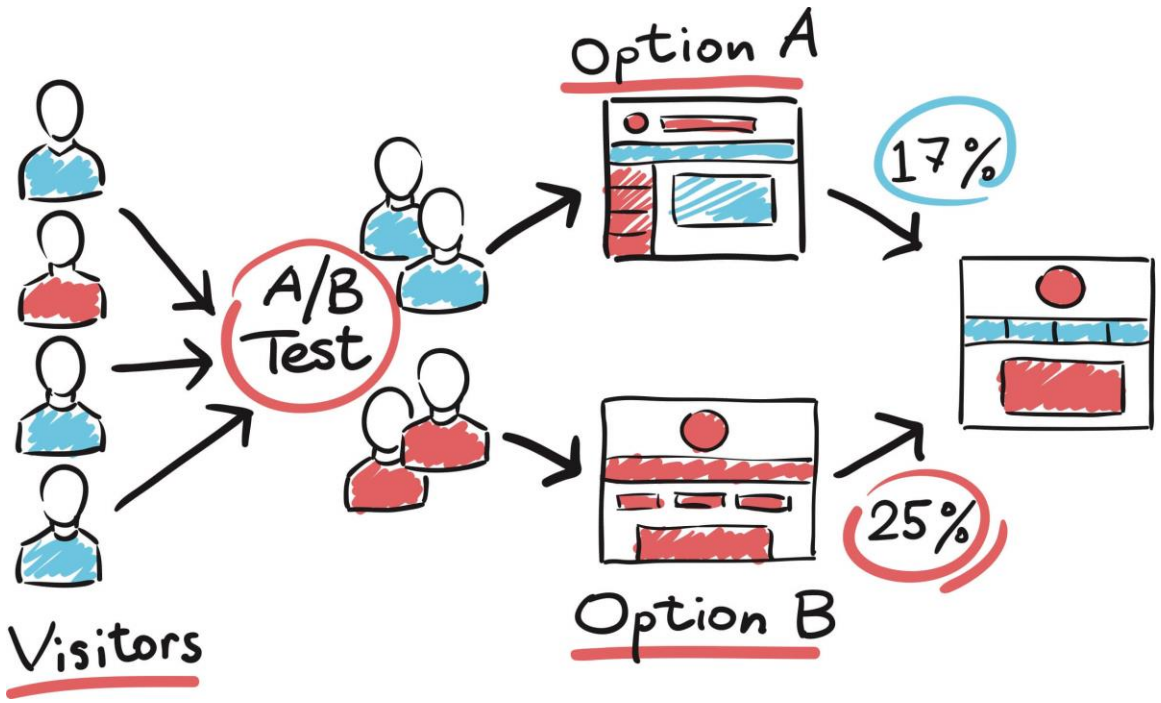
Analyzing data to identify trends and opportunities



DATA VISUALIZATION

Presenting data in a visual format to make it easier to understand

Product Management is an ever-evolving field that requires data-driven decision making to stay ahead of the competition. By understanding the challenges and opportunities of data-driven decision making, product managers can make informed decisions that will lead to success



Pre-Launch Phase

- A/B test prototypes
  - Build multiple versions of a feature and run A/B tests to see which prototype users engage with more.
- Analyze usage data
  - Collect and analyze data on how users interact with the product to identify areas for improvement.
- Optimize Customer Experience (CX)
  - Use insights from A/B tests and usage data to refine the UX/UI and workflows

“Data-driven decision making is the only way to ensure that we are making the **best** decisions for our product. A data-centric approach to problem-solving is essential for success.”

BEST? Who is the decision best for?

- **For business**
- **For customers**
- **For shareholders**
- **For employees**

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The Pitfalls of Over-Reliance on Data

Data-driven decision making is a powerful tool for product managers, but it is important to remember that data can only tell us so much. Over-reliance on data can lead to decisions that are not in the best interest of the product or the customer.

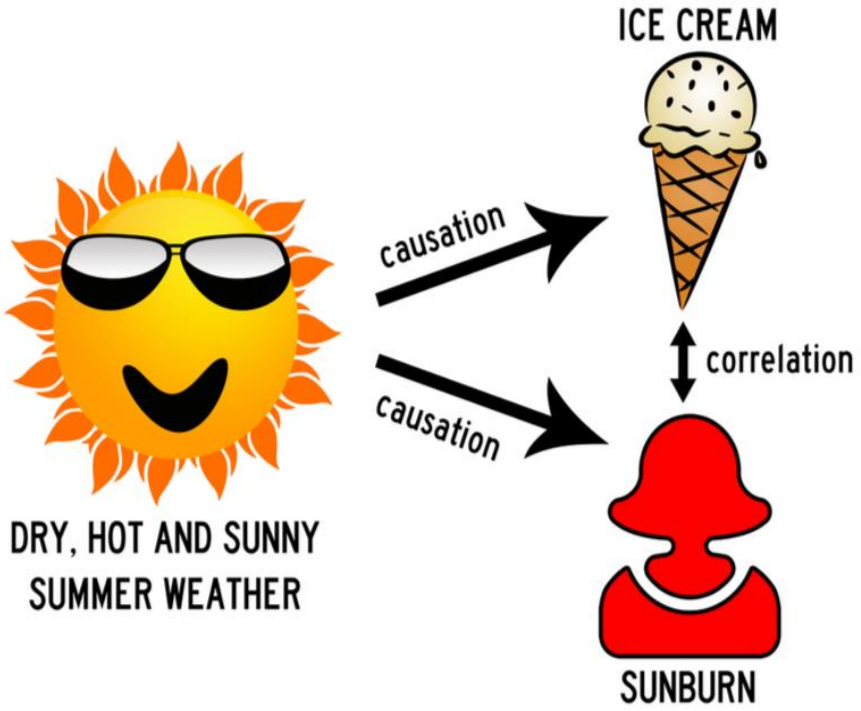


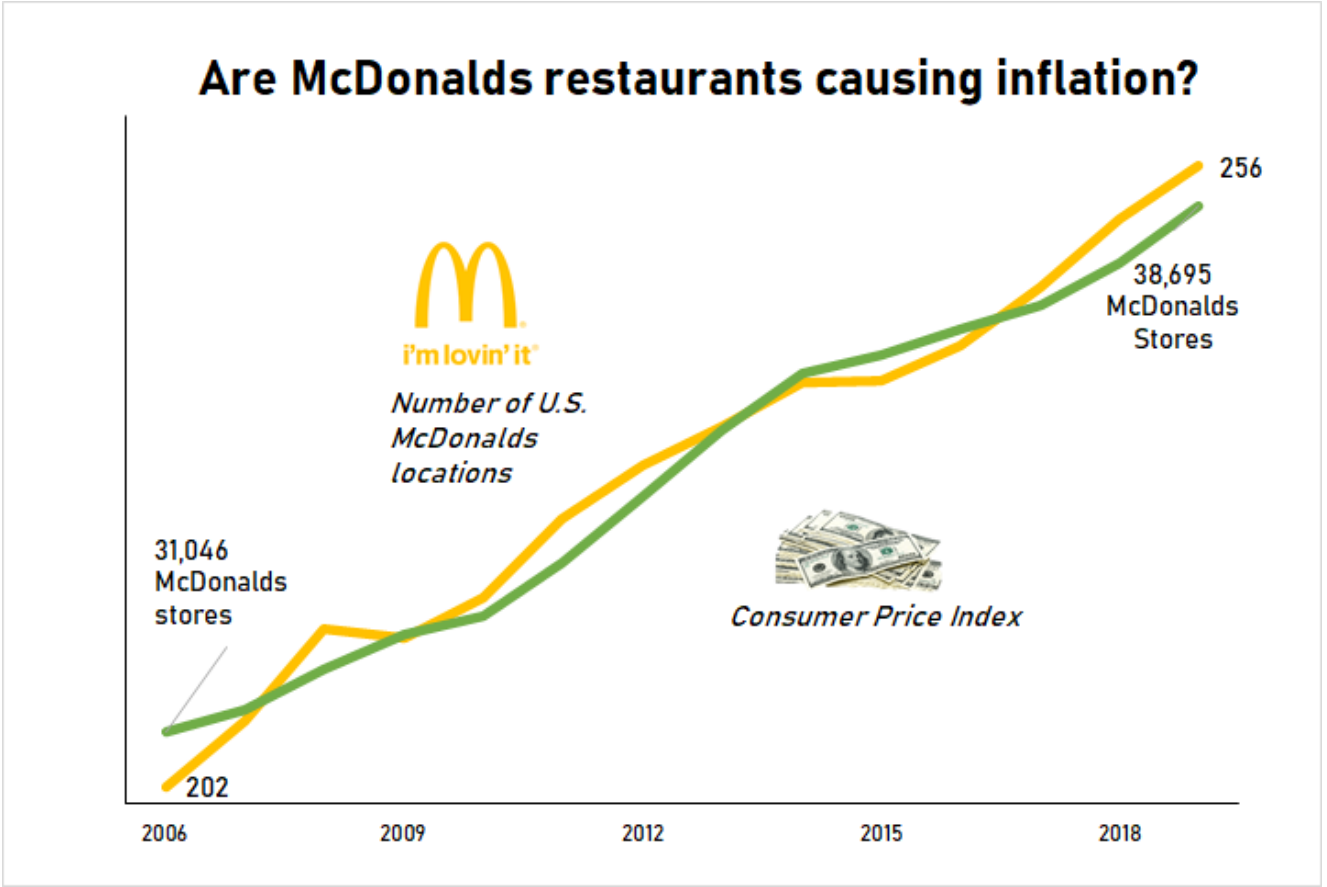
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TOO MUCH CUSTOMER DATA

- **We know a lot about our customers**
- **We built insights and analysis based on the that**
- **But the focus on knowing more about customers has taken firms in the wrong direction.**
- WHY?
- We might not know the JTBD!

Correlation ≠ Causation



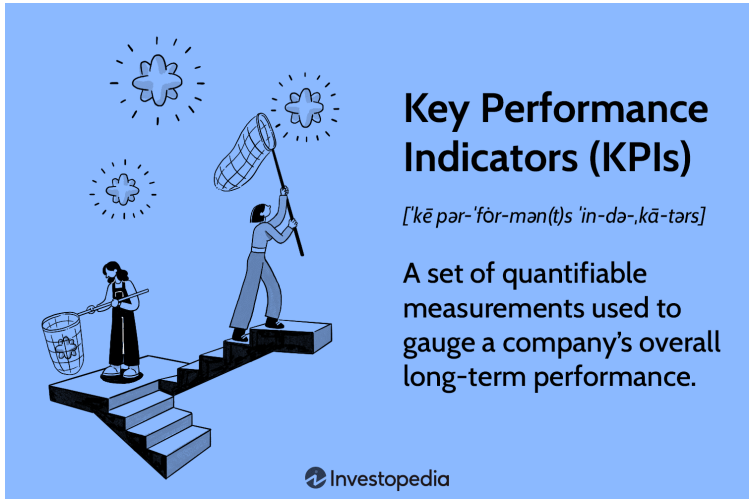


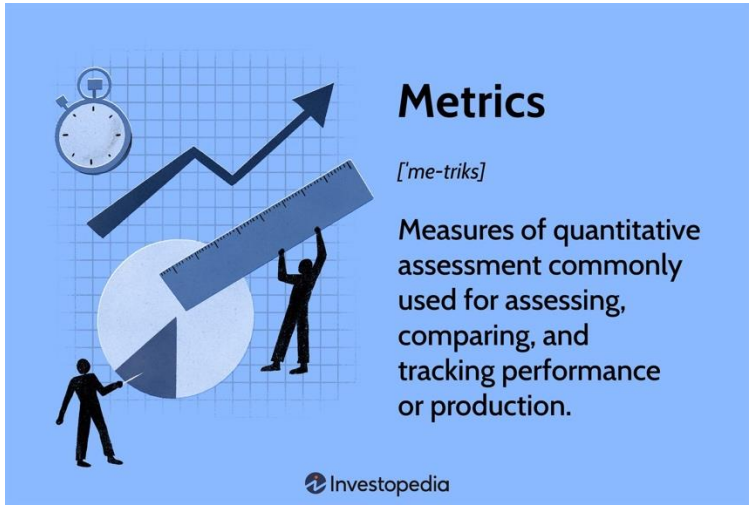


MEASURING SUCCESS

Business KPIs & Product Metrics

- Valuable, feasible & viable (PMF):
  - Defining the right problem and solution
  - Defining the right technology
  - Defining the right differentiation
- Defining & Measuring success (PRD)
  - Business Objectives & Key Results (OKRs)
- Gathering and Analyzing Data (post launch)
  - Key Performance Indicators





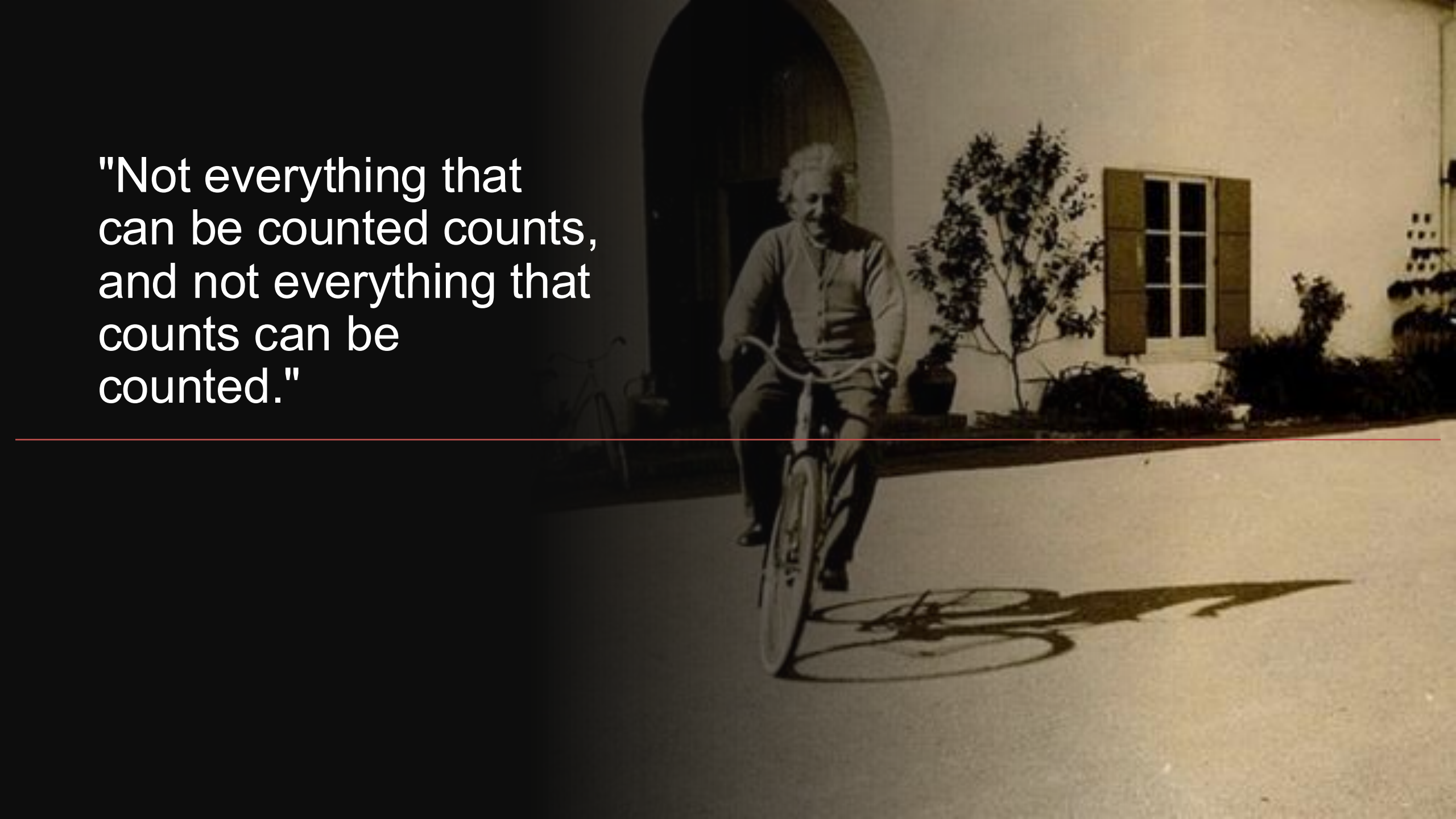
KPIs & Metrics : Saas

Defining the right metrics is important for success of product

- Churn Rate
- Monthly Recurring Revenue (MRR)
- Revenue Churn
- Annual recurring revenue (ARR)
- Committed Monthly Recurring Revenue (CMRR)
- Customer Acquisition Cost (CAC)
- Customer Lifetime Value (CLV)
- Lead Velocity Rate (LVR)
- Net promoter score (NPS)



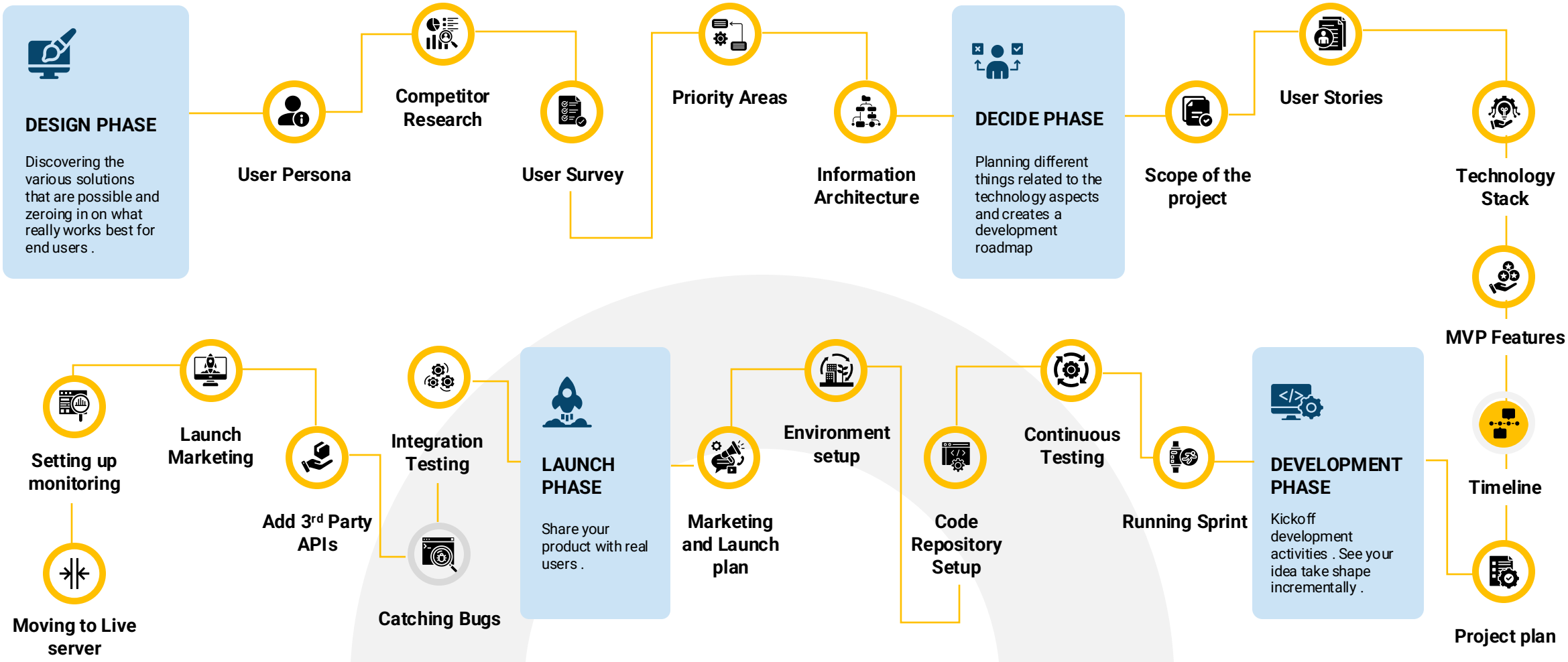
"Not everything that can be counted counts, and not everything that counts can be counted."



In conclusion, data analytics enables product managers to make data-driven decisions at every stage of the product lifecycle. When leveraged effectively, analytics provides insights that lead to improved customer satisfaction and product-market fit.



THE JOURNEY OF A PRODUCT



QUIZ #3





Assignment 3:
PRD Continued



PRD

Write a PRD for a real or hypothetical product

PR & Product Value Proposition

Problem Statement

- Target customer segment
- JTBD: What will your product be hired for?
- What is the pain point you are solving for?

Market Size, Competitive Landscape

- Iterative or Category Creator
- What other products exist?
- Product Differentiation
  (Pricing to be added later Pricing)

Wireframes

- User experience
- Interactions & APIs

Functional & Technical specs

- For tech/eng teams
- Interactions & APIs

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PRD

Write a PRD for a real or hypothetical product

Product Value Proposition

Data Analytics

- Customer data
- Competitive data

Experimentation

- User research
- A/B Testing

Success Metrics & KPIs

- Company Mission & goals
- KPIs that align with the Company goals
- Metrics that measure those KPIs

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GUEST SPEAKER:
Kittu Kolluri



Swaroop “Kittu” Kolluri

Kittu Kolluri is a serial entrepreneur, CEO, and venture capitalist with over three decades of experience. A Distinguished Alumnus of IIT Madras, he began his career at Silicon Graphics before co-founding Healtheon/WebMD, which went public in 1999.

He later founded **Neoteris**, a pioneer in SSL-based secure access, and after its acquisition led Juniper Networks’ enterprise security and routing business as EVP/GM.
In 2006, Kittu became a General Partner at **NEA**, backing multiple successful startups, including eight unicorns, before founding **Neotribe Ventures** in 2017 to invest in breakthrough technologies that stretch the imagination.

His portfolio includes **Aruba Networks, Bloom Energy, The Climate Corporation, Robinhood, Box, MindTickle, Heliogen**, and others. Featured in Michael Lewis’s *The New New Thing*, Kittu has been named among the **Top 100 VCs** by *The New York Times* and *CB Insights*.

